

Discussion about Performance Dashboards Transcript

Now, we will be discussing performance dashboards. Performance dashboards are a key subtype of dashboards that are used by the organisations to execute their strategy, implement their strategy and get the desired results. In this process, they would build a dashboard that would capture the strategic goals into actionable items and identify reasons for any gaps or course corrections in an objective and transparent manner.

The usefulness of performance dashboards is well recognised in the business and industry where almost all processes have performance dashboards that are constantly tracked by the lowest level of the management to the topmost level depending upon where they sit in the management framework and use these cues from the performance dashboards to correct the cache. So, what are performance dashboards key attributes? The performance dashboards enable strategy execution. A strategy is formulated in the board or the company besides this wants to grow by 20% in revenue or it wants to increase its footfall in say in 10 new regions.

The plan is drawn, then it is broken into small elements and responsibilities are assigned to different groups in the organisation and the metrics are also decided on how to evaluate the performance and see what are the gaps on a real-time basis. These elements are brought together in a performance dashboard. First, it enables monitoring of the strategic objectives and it also enables a collaboration because in real time when you have a dashboard you can make the parties across the table.

For example, there is a supplier group and there is a user group or a product development group and a testing group so they can interact with each other using a dashboard in a very collaborative fashion with clearly identified metrics without gap for misunderstanding or miscommunication. Then it also enables most importantly corrections. The objective is not to find fault but to create a pathway to correct so that the overall organisation or particular process moves as per the plan.

Then corrections can be enabled looking at the gaps. Finally, it is very objective. Before designing the dashboard, the performance dashboard, you would decide on what are the key objective metrics that you would be using to decide on the performance.

So the discussion would have an a priori to decide what are the objective metrics and it is very transparent therefore because everybody knows these are the metrics on which the performance will be measured and if there are gaps what actions have to be taken so that overall strategic objective is executed in the given time frame. So with these characteristics, performance dashboards are a key managerial tool for people to smoothly execute these strategies. Now let us see how a performance dashboard is constituted or what are the key elements of a performance dashboard.

First is it is a graphical and abstracted data. So you have set of visuals which abstract the underlying processes so that key insights can be extracted by looking at those visuals. So you have typical graphs, symbols and charts.

You can have a graph showing the growth in revenue over a period of time or you can have a gauge diagram showing the percentage of target that has been reached. You have a map showing the differential in the colour saturation showing the target achievement or the growth rates like we have seen in the GDP growth case. This enables monitoring.

You can clearly see where is the gap or who are the laggards or who are the super performers. Then you have summarised dimensional data. Once you look at the regions that are performing very well or not performing, you can drill down on them to look at which particular departments or products or sections they are lagging in or they are outperforming.

What is the reason for the performance or non-performance? Then once you identify them, you can also have detailed operational level queries integrated into the performance dashboard depending upon where are you using it and try to understand what is the cause, how to improve the performance so on and so forth. And this can be used for reporting. Reports can then be analysed and then can be monitored.

With all this, you can have a very good planning layer which can ensure your strategy execution is done on time with mid-core corruption in an objective and transparent fashion. Therefore, performance dashboards, designing of performance dashboards becomes a critical skill for the business analyst teams so that they can talk to the top management about the strategic objectives, they can talk to the operational guys, talk and see where are the things needs to be improved, they can show where things can be improved. However, for designing operational dashboards, you need a very clear understanding of three things.

One, the strategic objectives, second, the data pipeline from which the different types of data have come and the effective visualisation tools so that you can bring all these insights into one place which is understood by everyone in the process. We will look at a dashboard building for a performance setup in our experiential learning wherein we will try to bring these elements and create a performance dashboard highlighting the action to insight paradigm. I would give an example of performance dashboard.

Again, I am taking the Vahan dashboard which is the dashboard of Ministry of Road, Transport and Highways, Government of India. It shows the pending application dashboard. There are several dashboards in the Vahan portal and just focussing on the pending application dashboard for Delhi I have selected and the dashboard clearly shows the transaction-wise pending transactions, top 15 RPOs and the registration type-wise, the pending registration for top 15 RPOs and you have the numbers given here, clearly following the gestalt principles, ordered in a logical order so you can clearly see which is the topmost pending category.



Now, if you are depending upon whether you are a user, whether you are a superior or higher official, you want to understand what is the reason for this particular pending, you go drill down or click on that particular graph so you will get the details like this and you click on the topmost graph. The next visualisation, the visualisation would transform to showing the composition of the pending transactions or the registration types in that particular RPO which is in this case Burari Auto Unit. So, you have this data and below this you have the type, even more further details on the, you will understand by looking at this graphic, permit-related transactions are the major pending category and here you have new registration against scrapped vehicle.

These are the highest pending category. Once you can click on that, you get the details below which we can think for querying or getting further details and we see that permit verification is the highest outstanding category, then you have the permit fee which is also substantially larger compared to all the pending transactions in that particular RPO. We can then focus our attention, maybe appoint some extra human resources to solve this problem or talk about any technical glitch that is happening that is leading to this high level of pendency in these transactions.

Performance dashboards help you to do something called root cause analysis which is very critical in improving the efficiency of operations so that the overall objectives are met effectively and the company reaches its strategic milestones.

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